be due to the model I used. Your software may find patterns that perform better than the ones I found.

Another way the pattern fails is if the stock doesn't make it down to D. It turns before the predicted target, leaving you waiting to buy the stock with a fist full of money. Fortunately, this type of failure is exceedingly rare.

Finally, the pattern can also fail if it *does* make it down to D and it *does* turn at D, but the rise isn't high enough to make money. These types of failures are what I call 5% failures and describe them in Table 3.2 as the breakeven failure rate. Let's check the statistics to see what we can learn about this pattern.

Statistics

Table 3.2 shows the first batch of statistics for the bullish AB=CD.

Number found. I found over 2,300 patterns, sorted by market condition, in 1,069 stocks from July 1991 to February 2020. I told my program to limit the number found so it didn't overload my spreadsheet. Not all stocks covered the entire period, and some no longer trade.

Breakeven failure rate. The failure rate (a measure of how many patterns failed to see price climb more than 5%) is quite good, averaging between 3% and 12% of those patterns that reached D and reversed there. To put it another way, if you were to trade a lot of these patterns perfectly, you'd have an 88% chance of seeing price rise more than 5% above the low at D. That's terrific.

Average rise after D. I measured the average rise from the low at D for those patterns reaching D and turning upward. The average rise is disappointing. Non-Fibonacci-based patterns in bull markets perform better, averaging 42.4%. However, bear markets beat non-Fib patterns with the rise averaging 30.5% compared to 28.1%, respectively.